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FINANCIAL INTELLIGENCE. GLOBAL IMPACT.

CREDIT MONITORING ARRANGEMENT

Demo Precision Components Pvt Ltd

CMA data for a Rs 100 lakh cash credit limit
Forms I to VI, ratios and funds flow

ILLUSTRATIVE SAMPLE · FICTIONAL COMPANY

APPLICANT Demo Precision Components Private Limited	PREPARED BY AlphaZet Services, Ahmedabad
FACILITY SOUGHT Cash credit limit Rs 100 lakh, FY27	BANKER (FICTIONAL) Sample Cooperative Bank, Ahmedabad branch
YEARS COVERED FY24, FY25 audited; FY26 estimate; FY27, FY28 projected	REPORT DATE 20 April 2026

This document is a sample created to show the format and depth of our CMA work. The company, bank, people and every number in it are invented. It is not based on any client and must not be used for any loan application.

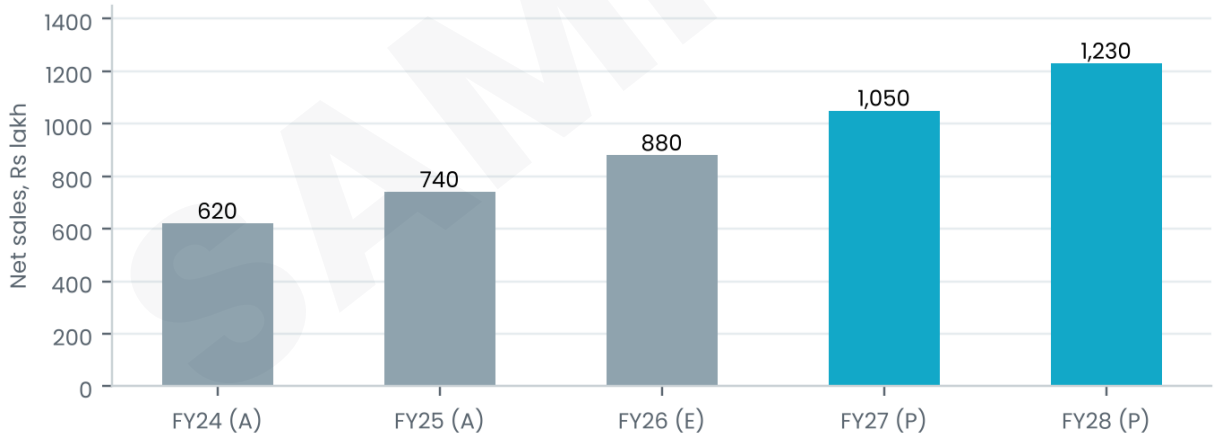
SAMPLE · FICTIONAL COMPANY · NOT A CLIENT

Summary and index

Applicant profile

Item	Detail
Applicant	Demo Precision Components Private Limited (fictional)
Constitution	Private limited company, incorporated 2014 (fictional)
Activity	Machined and turned components for engineering and auto-ancillary customers in Gujarat
Facility requested	Cash credit limit Rs 100 lakh (existing Rs 85 lakh) against stock and receivables
Existing term loan	Rs 100 lakh sanctioned in FY23, outstanding Rs 64 lakh at FY26 (estimate)
Promoters	Two directors, both engineers, 25 years' combined experience (fictional)

Net sales FY27 (P)	Current ratio FY27	DSCR FY27	MPBF FY27
Rs 1,050 lakh	**1.46**	**2.82**	**Rs 116 lakh**
+19% on FY26	bank norm 1.33	benchmark 1.50	vs limit Rs 100 lakh



Grey bars are audited or estimated; teal bars are projected.

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I

Form I: particulars of existing and proposed limits

Facility	Existing (Rs lakh)	Proposed (Rs lakh)	Security (illustrative)
Cash credit (hypothecation)	85.0	100.0	First charge on stock and receivables
Term loan (sanctioned FY23)	100.0	No change	First charge on plant and machinery
Total fund-based limits	185.0	200.0	

Reason for the enhancement

Projected net sales rise by 19% in FY27, from Rs 880 lakh to Rs 1,050 lakh. Inventory and receivables need to grow with sales, so working capital needs about Rs 15 lakh more than the present limit. Form V tests the requested limit against the maximum permissible bank finance.

Collateral and guarantees (illustrative)

Item	Detail
Primary security	Hypothecation of stock, book debts and plant and machinery
Collateral	Industrial shed at the unit, in the company's name, market value Rs 150 lakh (fictional)
Guarantee	Personal guarantee of both directors
Insurance	Fire and special perils on stock and machinery, bank clause endorsed

What a bank checks first

Whether the projected sales are believable against past sales, whether margins are stable, how much of the funding is the owners' own money, and whether the business can repay the term loan from its own profits.

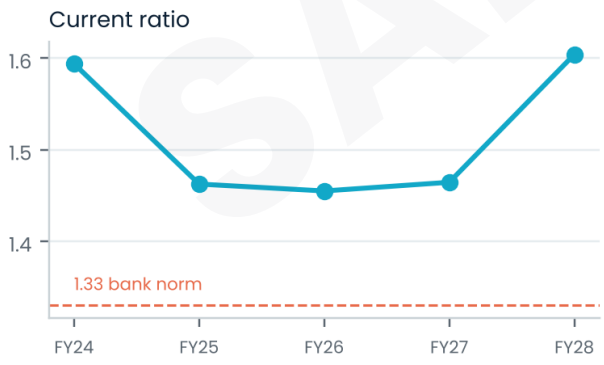
SAMPLE

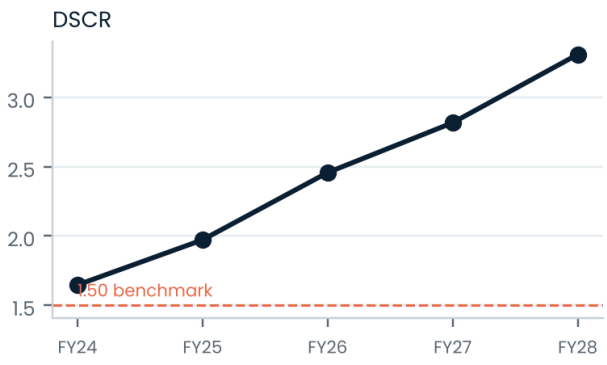
II

Form II: operating statement

Rs lakh	FY24 (A)	FY25 (A)	FY26 (E)	FY27 (P)	FY28 (P)
Net sales	620.0	740.0	880.0	1,050.0	1,230.0
Growth	-	19.4%	18.9%	19.3%	17.1%
Cost of goods sold	545.9	646.6	758.4	903.5	1,049.8
Gross profit	74.1	93.4	121.6	146.5	180.2
Gross margin	12.0%	12.6%	13.8%	14.0%	14.7%
Selling and administration	43.4	51.8	61.6	73.5	86.1
Profit before interest and tax	30.7	41.6	60.0	73.0	94.1
Interest	11.0	12.0	13.0	14.0	15.0
Profit before tax	19.7	29.6	47.0	59.0	79.1
Tax	5.0	7.5	11.8	14.9	19.9
Profit after tax (PAT)	14.7	22.1	35.2	44.1	59.2
PAT margin	2.4%	3.0%	4.0%	4.2%	4.8%

Gross margin moves from 12.0% to 14.7% as raw-material purchases scale. A bank asks the reason for any change in margin, so the assumption behind each line is written down in the notes. Cost of goods sold includes depreciation of Rs 22 to 35 lakh a year.





III

Form III: analysis of balance sheet

Liabilities (Rs lakh)	FY24 (A)	FY25 (A)	FY26 (E)	FY27 (P)	FY28 (P)
Bank borrowing (cash credit)	56.6	77.4	88.1	96.4	93.5
Other current liabilities (incl. creditors)	60.9	71.6	83.6	102.2	117.5
Total current liabilities	117.4	149.0	171.6	198.6	211.0
Term loan outstanding	100.0	82.0	64.0	46.0	28.0
Tangible net worth	134.7	156.9	192.1	236.2	295.4
Total liabilities	352.2	387.9	427.7	480.8	534.4
Assets (Rs lakh)	FY24 (A)	FY25 (A)	FY26 (E)	FY27 (P)	FY28 (P)
Inventory	72.7	83.3	95.1	107.6	125.1
Receivables	98.5	115.6	132.6	158.2	185.3
Cash and bank	6.0	7.0	8.0	9.0	10.0
Other current assets	10.0	12.0	14.0	16.0	18.0
Total current assets	187.2	217.9	249.7	290.8	338.4
Net fixed assets	165.0	170.0	178.0	190.0	196.0
Total assets	352.2	387.9	427.7	480.8	534.4

Bank borrowing is the balancing figure in the projections, as it is in most CMA data. Holding periods used are inventory 55 to 62 days, receivables 55 to 58 days and creditors 40 to 42 days. They should match the real operating cycle; if they do not, the bank will question the projection.

- Tangible net worth grows only by retained profit; no new equity is assumed.
- Term loan reduces by Rs 18 lakh a year as per the sanctioned schedule.
- Fixed assets increase by Rs 12 to 14 lakh a year, funded from internal accruals.

IV

Form IV: current assets and current liabilities

Rs lakh	FY26 (E)	FY27 (P)	FY28 (P)
Inventory	95.1	107.6	125.1
Receivables	132.6	158.2	185.3
Cash and other current assets	22.0	25.0	28.0
Total current assets	249.7	290.8	338.4
Other current liabilities	83.6	102.2	117.5
Working capital gap	166.1	188.6	220.9
Minimum margin at 25% of current assets	62.4	72.7	84.6
Maximum permissible bank finance (MPBF)	103.7	115.9	136.3
Projected bank borrowing	88.1	96.4	93.5

Holding periods (days)

Item	FY24 (A)	FY25 (A)	FY26 (E)	FY27 (P)	FY28 (P)
Inventory (days of raw-material cost)	62	60	58	55	55
Receivables (days of sales)	58	57	55	55	55
Creditors (days of purchases)	40	40	40	42	42

SAMPLE

V

Form V: maximum permissible bank finance

Second method of lending, FY27: the bank finances up to 75% of current assets less other current liabilities.

Step	Rs lakh
Total current assets (FY27)	290.8
Less: 25% owner's margin on current assets	72.7
Working capital gap at 75% of current assets	218.1
Less: other current liabilities	102.2
Maximum permissible bank finance (MPBF)	115.9
Proposed cash credit limit	100.0
Projected bank borrowing	96.4

Reading the result

The projected bank borrowing of Rs 96.4 lakh is within the MPBF of Rs 115.9 lakh, so the proposed limit of Rs 100 lakh is supported on this method. In a live case the bank applies its own method and margin.

SAMPLE

VI

Form VI: funds flow statement

Rs lakh	FY27 (P)	FY28 (P)
Sources: profit after tax plus depreciation	76.1	94.2
Sources: increase in bank borrowing	8.4	-3.0
Sources: increase in other current liabilities	18.6	15.4
Total sources	103.1	106.6
Uses: capital expenditure	44.0	41.0
Uses: repayment of term loan	18.0	18.0
Uses: increase in current assets	41.1	47.6
Total uses	103.1	106.6

A funds flow shows where money comes from and where it goes. Banks read it to see whether long-term uses are funded from long-term sources and whether the business leans too much on short-term borrowing.

SAMPLE

R

Key ratios and bank norms

Ratio	Norm	FY24 (A)	FY25 (A)	FY26 (E)	FY27 (P)	FY28 (P)
Current ratio	1.33 or more	1.59	1.46	1.45	1.46	1.60
TOL / TNW	3.00 or less	1.61	1.47	1.23	1.04	0.81
Interest cover (PBIT / interest)	2.00 or more	2.79	3.47	4.62	5.21	6.28
DSCR	1.50 or more	1.65	1.97	2.46	2.82	3.31
Gross margin	-	12.0%	12.6%	13.8%	14.0%	14.7%
PAT margin	-	2.4%	3.0%	4.0%	4.2%	4.8%

Norms are illustrative. Each bank sets its own.

Common reasons banks send CMA data back

- Projections do not follow from past figures
- Balance sheet does not balance, or bank borrowing goes negative
- Holding periods change sharply between years without a reason
- Missing notes on assumptions
- Ratios that break the bank's own norms

SAMPLE

N

Notes, assumptions and declaration

Item	Assumption (illustrative)
Sales growth	Orders in hand and two new customers support 19% growth in FY27 and 17% in FY28
Raw material	68% of sales falling to 67.5% as bulk purchasing scales
Manufacturing and selling costs	15% and 7% of sales
Depreciation	Rs 28 to 35 lakh a year
Tax	25.17% on profit before tax
Term loan	Repaid Rs 18 lakh a year; interest cost included in total interest

Declaration

In a live case the directors sign a declaration that the data is correct and complete, and a chartered accountant signs the certified figures. This is a sample and carries no signature.

For Demo Precision Components Pvt Ltd	For AlphaZet Services
Director (sample, not signed)	Prepared by (sample)

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